EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Langgangan, now Sta. Praxedes, Cagayan, was formally established when it became a township of Cagayan Valley by virtue of Executive Order No. 65 of Governor Leonard Wood on November 11, 1922. It was renamed Sta. Praxedes in 1977 by virtue of Republic Act No. 1449. It consists of ten (10) barangays, with a total land area of 110 sq. km. It is classified as a fifth class municipality.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Sta. Praxedes for CY 2023 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audit were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Sta. Praxedes, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Particulars	2023	2022	Increase/ (Decrease)
Financial Position			
Assets	298,578,745.20	348,057,495.69	(49,478,750.49)
Liabilities	33,048,992.45	36,519,873.54	(3,470,881.09)
Government Equity	265,529,752.75	311,537,622.15	(46,007,869.40)
Financial Performance			
Income	86,321,829.65	100,347,875.22	(14,026,045.57)
Expense	85,784,012.99	79,651,958.97	6,132,054.02
Net Income	537,816.66	20,695,916.25	(20,158,099.59)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2023, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Construction of Mingay Beach Resort and Rehabilitation of Portabaga Falls Park	2,783,330.79
Repair and maintenance of School Classrooms	296,060.00
Housing and Community Building Program	947,350.00
Repair and maintenance of facilities and buildings	1,648,933.00
Total	**5,675,673.79**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the Financial Statements of the Municipality of Sta. Praxedes, Cagayan for the year-ended December 31, 2023 due to non-conduct of the one-time cleansing procedures for its PPE, contrary to COA Circular 2020-006 dated January 31, 2020 and Section 124 of the Manual on the New Government Accounting System for LGUs, Volume, thus, the validity, existence, and reliability of the reported balance of Property, Plant and Equipment account amounting to P218,359,592.02 cannot be determined.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The validity, existence, and reliability of the reported balance of Property, Plant and Equipment account amounting to P218.359 million as at December 31, 2023 cannot be determined due to the non-submission of the Report on Physical Count of Property, Plant and Equipment (RPCPPE), contrary to COA Circular 2020-006 dated January 31, 2020 and Section 124 of the Manual on the New Government Accounting System (MNGAS) for LGUs, Volume I, thus, affecting the fair presentation of the LGU's financial statements.

   We recommended that the Management, thru the Local Chief Executive:

- Require the Inventory Committee to strictly comply with COA Circular No. 2020-006 dated January 31, 2020 for the one-time cleansing of PPE account balances of the Municipality; and

- Require the Inventory Committee to submit the Inventory Report using the prescribed form of Report of Physical Count of Property, Plant and Equipment showing relevant information, such as property number, unit value, balance of PPE per property cards and per count pursuant to COA Circular No. 2020-006 dated January 31, 2020 and undertake all other procedures prescribed under the same Circular to come up with the reconciled and correct balances of PPE accounts in the financial statements.

2. The Trust Liabilities - Disaster Risk Reduction and Management (DRRM) Fund under consolidated funds is overstated by to P7.318 million due to accounting error, contrary to COA Circular 2012-002 dated September 12, 2012.

   We recommended that the Municipal Accountant correct the Trust Liabilities DRRM Fund and record the necessary adjusting Journal Entries.

3. Outstanding checks totaling to P 3.755 million as of December 31, 2023 included stale checks amounting to P 0.516 million, which have been stale for more than six (6) months, contrary to Section 59 of the Manual on the New Government Accounting System for LGUs, thus, casting doubt on the accuracy, propriety and reliability of the Cash in Bank account.

   We recommended that the Municipal Accountant undertake the following:

   - Coordinate with the Municipal Treasurer to confirm the status of the checks reported as outstanding to determine whether these were issued to the payees or cancelled checks;

   - Exert effort to review the long outstanding/stale checks and require the Municipal Treasurer to cancel the unclaimed stale checks and to furnish the Accounting Office with the original Disbursement Vouchers and its supporting documents, for the preparation of the Journal Entry Voucher, following the procedures prescribed to ensure recording of such cancellation;

   - Secure Monthly Bank Statements to prepare the Bank Reconciliation Statements to determine whether checks claimed by the payees were presented for payment, and secure the addresses of the payees for notification of the return of stale checks in their possession for replacement; and

- Draw the JEV to restore the cash and liabilities pertaining to the stale checks to present fairly the recorded Cash in Bank and accounts payable accounts.

G. Summary of Total Suspensions, Disallowances, and Charges as of December 31, 2023

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**

H. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the seven (7) audit recommendations in the CY 2022 Annual Audit Report, five (5) were implemented, one (1) was partially implemented, and one (1) was not implemented.